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CASE NAME: Siyu Wang, aka Selena Wang v. Pengqiang Wang, et al.

1. Demurrer of Defendant Jiali Wei, Individually, to Complaint; and
2. Motion to Strike Portions of Plaintiff's Complaint by Defendant Jiali Wei, Individually

TENTATIVE RULING

The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Second and Ninth Causes of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Sixth Cause of Action, and will hear from Plaintiff whether facts can be alleged to amend the defects identified herein. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant Jiali Wei, Individually, to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant Jiali Wei, Individually. The Court hereby STRIKES the following portions of the Complaint as to Defendant Jiali Wei, Individually, with 20 days' leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint's statement under Code of Civil Procedure section 425.115 as to Defendant Jiali Wei, Individually, located on page 26, lines 21 through 23, without leave to amend.

Defendant Jiali Wei, Individually, is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a fraud case. On February 17, 2026, plaintiff Siyu Wang, aka Selena Wang (Plaintiff) filed this action against defendants Pengqiang Wang (Pengqiang),[1] Jiali Wei, an individual (Wei), Jiali Wei, Trustee of the CW76 Trust, Dated September 22, 2021 (Trustee), Huimin Wu (Wu), Skyhealth Medical Group USA Inc. (Skyhealth) (collectively, Defendants), and Does 1 through 10, alleging causes of action for conversion, civil theft (Penal Code § 496), intentional misrepresentation (fraud), concealment (fraud), breach of fiduciary duty, accounting, money, money had and received, restitution based on quasi-contract, aiding and abetting, civil conspiracy, constructive fraud, avoidance of transfers under California Uniform Voidable Transaction Act, avoidance of transfers under California common law, breach of contract, and declaratory relief.

On April 20, 2026, Wei demurred to and moved to strike portions of Plaintiff's Complaint. On June 24, 2026, Plaintiff opposed both motions. On June 29, 2026, Wei replied to both Oppositions.

LEGAL STANDARD – Demurrer

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*).) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, supra, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

A demurrer can be utilized where the “face of the complaint” itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The “face of the complaint” includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94; see also *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 “[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits”].)

A demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046-1047.)

PRELIMINARY ISSUES – Demurrer

The Court notes Plaintiff's Opposition contains inaccurate case quotations. For example, Plaintiff's opposition purports to quote from *Navarrete v. Meyer* (2015) 237 Cal.App.4th 1276 as, “[t]he conspirator's concurrence in the scheme may be inferred from the nature of the acts done, the relationship of the parties, their interests, and the surrounding circumstances.” (Opp., 8:1-2.) The actual language from that case reads, “[a] conspirator's concurrence in the scheme may be inferred from the nature of the acts done, the relation of the parties, the interests of the alleged conspirators, and other circumstances.” (*Navarrete v. Meyer*, supra, 237 Cal.App.4th at p. 1292, differences highlighted in bold, internal quotation marks omitted.) Plaintiff's opposition also appears to improperly attribute “[t]o plead aiding and abetting by a defendant, the plaintiff must allege that the defendant had actual knowledge of the ‘specific primary wrong’ being committed, and gave substantial assistance to the wrongful conduct” to *Neilson v. Union Bank of California, N.A.* (2003) 290 F.Supp.2d 1101 and *Nasrawi v. Buck Consultants LLC* (2014) 231 Cal.App.4th 328, but no such language is found in either case. (Opp., 6:21-24.) There are other misquotations throughout Plaintiff's Opposition that the Court declines to address here. The Court will discuss these matters with Plaintiff's counsel at the hearing on the Demurrer.

DISCUSSION – Demurrer

Meet and Confer

The Court finds Wei's efforts to meet and confer before bringing this Demurrer sufficient. (Wu Decl., ¶ 6; Code Civ. Proc., § 430.41, subd. (a).)

Second Cause of Action – Civil Theft (Penal Code § 496)

"(a) Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170." (Penal Code, § 496, subd. (a).)

"Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Penal Code, § 496, subd. (c).)

Wei demurs to the Second Cause of Action for civil theft (Penal Code § 496) on the grounds that it fails to state facts sufficient to constitute a cause of action. Wei contends the Complaint identifies no specific property Wei received, no specific transaction, no date, no account, no amount, and no facts establishing that Wei had actual knowledge the funds were stolen, embezzled, or otherwise wrongfully obtained.

In opposition, Plaintiff contends the civil theft claim is adequately pleaded because Wei is alleged to have concealed, withheld, and aided the concealment of Plaintiff-derived funds. Plaintiff contends the Complaint alleges Pengqiang wrongfully obtained and retained Plaintiff's funds totaling \$1,250,000 through theft and fraud. Plaintiff contends the Complaint alleges Wei knowingly assisted Pengqiang in concealing assets derived from Plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit and by participating in transactions designed to place assets beyond Plaintiff's reach. Plaintiff contends this cause of action alleges that Wei knowingly received, concealed, transferred, and withheld Plaintiff's funds, and aided and abetted the concealment and retention of stolen property knowing Pengqiang wrongfully obtained them. Plaintiff contends that Plaintiff need not plead the exact account, transaction date, ledger entry, internal transfer record, or bank account number before discovery.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil theft under Penal Code section 496. The Complaint alleges in a conclusory fashion that Wei "knowingly assisted" Pengqiang "in concealing assets", which is insufficient. (Compl., ¶ 33; Wexler v. California FAIR Plan Assn. (2021) 63 Cal.App.5th 55, 70 (Wexler) [conclusory allegations disregarded on demurrer].) The Complaint fails to allege facts specifying how Wei knew the funds were stolen. Also, merely being Pengqiang's wife is insufficient. (See Compl., ¶¶ 32-34, 38.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Second Cause of Action with leave to amend.

Sixth Cause of Action – Accounting

To state a cause of action for an accounting, the plaintiff must allege facts demonstrating, "[a] cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. [Citations.]" (Teselle v. McLoughlin

(2009) 173 Cal.App.4th 156, 179 (Teselle.)

Wei demurs to the Sixth Cause of Action for accounting on the grounds that the Complaint fails to allege facts sufficient to state a cause of action. Wei contends the Complaint does not allege any fiduciary relationship between Plaintiff and Wei, or that Wei was involved in the handling, management, or control of Plaintiff's funds.

In opposition, Plaintiff contends the Complaint adequately alleges Wei held, received, transferred, or controlled Plaintiff-derived assets, and contends that the disposition of those assets cannot be determined without an accounting. Wei contends a fiduciary relationship is not required for an accounting. Plaintiff contends the Complaint alleges that Wei knowingly assisted Pengqiang in concealing assets derived from Plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit and by participating in transactions designed to place assets beyond Plaintiff's reach. Plaintiff contends the Complaint alleges that the Defendants acted in concert to conceal assets derived from Plaintiff's funds.

Plaintiff further contends the Complaint alleges a separate basis for accounting because the amount, location, and disposition of Plaintiff's funds are not ascertainable by a simple calculation. Plaintiff argues that Plaintiff seeks to determine what happened to those funds after Pengqiang received them. Plaintiff contends that Plaintiff is not required to trace every dollar at the pleading stage.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for accounting. While Plaintiff is correct that an accounting does not require a fiduciary relationship, the Complaint still fails to allege any facts demonstrating a relationship between Plaintiff and Wei, let alone one that would support an accounting claim. (Compl., ¶¶ 32-34, 38; Teselle, supra, 173 Cal.App.4th at p. 179.)

Moreover, "[a]n action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation. [Citation.]" (Teselle, supra, 173 Cal.App.4th at p. 179.) The Complaint alleges specific sums of money at issue, i.e., approximately \$550,000 and \$700,000, for a total of \$1,250,000. (Compl., ¶¶ 16, 20, 22, Prayer for Relief, ¶ 1.) Given the specificity of the amounts alleged, it is unclear to the Court whether Plaintiff can amend the Complaint and allege facts without running afoul of the sham pleading doctrine. (See Owens v. Kings Supermarket (1988) 198 Cal.App.3d 379, 383-384.)

Additionally, to the extent Plaintiff seeks to determine what was done with Plaintiff's funds, Plaintiff also alleges other fraud claims and a claim for restitution with a request for disgorgement of all ill-gotten gains, among other things. (See generally, Compl.) These causes of action and corresponding remedy should enable Plaintiff to determine what was allegedly done with Plaintiff's funds.

Accordingly, the Court SUSTAINS the Demurrer to the Sixth Cause of Action. The Court will hear from Plaintiff whether facts can be alleged on amendment remedying the defects identified herein.

Ninth Cause of Action – Aiding and Abetting

To state a cause of action for aiding and abetting a tort, the plaintiff must alleges facts demonstrating that the defendant "(a) knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person's own conduct, separately considered, constitutes a breach of duty to the third person." [Citation.]" (Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144.)

Wei demurs to the Ninth Cause of Action for aiding and abetting on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wei contends the Complaint fails to allege facts showing that Wei had actual knowledge of Pengqiang's wrongful acts. Wei contends the Complaint does not allege what Wei did to substantially assist

Pengqiang, such as what assets Wei controlled, what transactions she facilitated, when she learned of Pengqiang's alleged misconduct, or how her conduct harmed Plaintiff. Wei contends a familial relationship and alleged proximity to assets by themselves are insufficient. Wei also points to paragraph 108 in the Complaint as showing that Plaintiff purportedly acknowledges this deficiency.

In opposition, Plaintiff contends the aiding and abetting claim pleads actual knowledge of specific primary wrongs and Wei's substantial assistance. Plaintiff contends the Complaint alleges Pengqiang's misconduct, Wei's actual knowledge from the close relationship between Wei and Pengqiang, Wei's receipt or control over assets traceable to Plaintiff's funds, Wei's involvement in entities or structures used to hold or manage those assets, and the absence of any legitimate explanation for Wei's participation in handling or retaining those assets. Plaintiff contends the Complaint alleges that Wei and other Defendants facilitated, received, held, transferred, concealed, or shielded assets derived from Plaintiff's funds through trusts, entities, and other mechanisms designed to place assets beyond Plaintiff's reach, and that Wei's liability is not based only on marriage. Plaintiff contends the Complaint separately alleges Wei's active participation in holding, receiving, or transferring property and funds for Pengqiang's benefit and in transactions designed to place assets beyond Plaintiff's reach. Plaintiff further contends that paragraph 108 is not an admission that Plaintiff lacks facts, but properly alleges the precise details of Defendants' internal transactions within Defendants' knowledge and control.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for aiding and abetting. As noted above, the Complaint alleges in a conclusory fashion that Wei "knowingly assisted" Pengqiang "in concealing assets", which is insufficient. (Compl., ¶ 33; Wexler, supra, 63 Cal.App.5th at p. 70.) The Complaint fails to allege facts specifying how Wei knew the funds were stolen. Also, merely being Pengqiang's wife is insufficient. (See Compl., ¶¶ 32-34, 38.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Ninth Cause of Action with leave to amend.

Tenth Cause of Action – Civil Conspiracy

To invoke civil conspiracy liability against multiple defendants, the plaintiff must allege facts demonstrating, "(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design." [Citation.] (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1136 (Prakashpalan).)

Wei demurs to the Tenth Cause of Action for civil conspiracy on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wei contends the Complaint does not allege when Wei entered the agreement, what the terms of the agreement were, what overt acts Wei personally committed in furtherance of the alleged scheme, or any facts from which the existence of an actual agreement can be inferred apart from Wei's marriage with Pengqiang. Wei reiterates the contention that a familial relationship is insufficient.

In opposition, Plaintiff contends that the civil conspiracy claim is supported by a pleaded insider relationship and a common transfer-concealment scheme. Plaintiff contends the Complaint pleads more than a marital relationship and alleges that Wei is an insider who knowingly and actively participated in a scheme to conceal plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit and by participating in transactions designed to place assets beyond Plaintiff's reach. Plaintiff contends the Complaint alleges Wei knowingly received, concealed, transferred, and withheld Plaintiff's funds, and aided and abetted the concealment and retention of stolen property knowing Pengqiang wrongfully obtained those funds. Plaintiff contends the Complaint alleges Wei acted under a common plan and shared objective to conceal assets, prevent Plaintiff from discovering the true location and disposition of Plaintiff's funds, and delay or defeat Plaintiff's recovery. Plaintiff further contends she does not need to plead the precise date she joined the conspiracy and that no overt act is required to establish the conspiracy.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil conspiracy against Wei. As noted above, the Complaint's allegations against Wei are conclusory and devoid of specific facts showing either Wei's knowledge of the facts comprising the underlying wrongful act or facts showing what Wei actually did in this matter. Also, Plaintiff's contention that Wei is an "insider" is not supported by any factual allegations in the Complaint. The only allegation

showing that Wei is an “insider” is her marriage to Pengqiang, which is insufficient. (See Compl., ¶¶ 32-34, 38.)

Moreover, although not mentioned in Wei’s Demurrer, the Court notes that a civil conspiracy is not a separate cause of action. (*City of Indus. v. City of Fillmore* (2011) 198 Cal.App.4th 191, 211 [“Civil conspiracy is not an independent tort”].) As such, this cannot be remedied by amendment.

Based on the foregoing, the Court SUSTAINS the Demurrer to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

Twelfth Cause of Action – Avoidance of Transfers Under California Uniform Voidable Transaction [sic] Act

Under the Uniform Voidable Transaction Act, “[a] transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor’s claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation as follows:

(1) With actual intent to hinder, delay, or defraud any creditor of the debtor.

(2) Without receiving a reasonably equivalent value in exchange for the transfer or obligation, and the debtor either:

(A) Was engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction.

(B) Intended to incur, or believed or reasonably should have believed that the debtor would incur, debts beyond the debtor’s ability to pay as they became due.”

(Civ. Code, § 3439.04, subd. (a).)

“A transfer made or obligation incurred by a debtor is voidable as to a creditor whose claim arose before the transfer was made or the obligation was incurred if the debtor made the transfer or incurred the obligation without receiving a reasonably equivalent value in exchange for the transfer or obligation and the debtor was insolvent at that time or the debtor became insolvent as a result of the transfer or obligation.”

(Civ. Code, § 3439.05, subd. (a).)

Wei demurs to the Twelfth Cause of Action for avoidance of transfers under the California Uniform Voidable Transactions Act (UVTA) on the grounds that the Complaint fails to allege facts to state a cause of action. Wei contends the Complaint does not identify any specific transfer to Wei by date, amount, asset description, or asset details. Wei contends the Complaint does not allege what was transferred to Wei, when it was transferred, in what form, from what account, or for what purpose.

In opposition, Plaintiff contends this claim sufficiently pleads transfers to or for the benefit of Wei. Plaintiff contends Wei cites no law that details regarding the asset must be pleaded. Plaintiff contends the UVTA applies to all transfers and that the term “transfer” is broadly defined. Plaintiff contends the Complaint identifies the transfers and concealment at issue, namely \$1,250,000 transferred to Pengqiang for custodial safekeeping and investment purposes. Plaintiff contends those funds were then fraudulently transferred to or for the benefit of Wei individually as part of a scheme to defraud Plaintiff. Plaintiff contends the Complaint alleges transfers to Wei, that such transfers are voidable, and that Defendants, including Wei, retained possession or control of the transferred property post-transfer, thereby identifying Wei individually as a transferee or beneficiary of Plaintiff’s funds. Plaintiff contends the Complaint also alleges Wei knowingly assisted Pengqiang in concealing

assets derived from Plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit, and that such allegations are reinforced by the overarching claim that the Defendants acted under a common plan and shared objective to conceal assets from Plaintiff.

The Court finds the Complaint alleges sufficient facts to state a cause of action under the UVTA against Wei. The Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff's demands, and that Pengqiang transferred some of the funds to Wei. (Compl., ¶¶ 11-39, 137.) These allegations, taken as true at the pleading stage, are sufficient to state a cause of action under the UVTA.

Based on the foregoing, the Court **OVERRULES** the Demurrer to the Twelfth Cause of Action.

Thirteenth Cause of Action – Avoidance of Transfers Under California Common Law Fraudulent Conveyance

To state a cause of action for a fraudulent conveyance, the plaintiff must allege facts demonstrating a conveyance by a debtor to a third person for the purpose of preventing the creditor from reaching that interest to satisfy the creditor's claim. (Kirkeby v. Superior Ct. (2004) 33 Cal.4th 642, 648.) Common law fraudulent conveyance requires injury to the creditor. (Berger v. Varum (2019) 35 Cal.App.5th 1013, 1020.)

Wei demurs to the Thirteenth Cause of Action for avoidance of transfers under California common law fraudulent conveyance [sic] on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wei contends the Complaint fails to identify any specific transfer to Wei.

In opposition, Plaintiff contends this cause of action is sufficiently pleaded under the same transfer-concealment allegations. Plaintiff contends the common law injury requirement is satisfied here because the Complaint alleges Defendants deprived Plaintiff of the use and possession of her funds, i.e., \$1,250,000, and thereby caused financial harm.

The Court finds the Complaint alleges sufficient facts to state a cause of action for fraudulent conveyance. As noted above, the Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff's demands, and that Pengqiang transferred some of the funds to Wei. The Complaint also alleges Plaintiff suffered financial harm by being deprived of her funds. (Compl., ¶¶ 11-39, 137, 155-156.)

Therefore, the Court **OVERRULES** the Demurrer to the Thirteenth Cause of Action.

Fifteenth Cause of Action – Declaratory Relief

To state a cause of action for declaratory relief, the plaintiff must allege facts demonstrating “(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” [Citation.]” (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.) “In the context of a demurrer, the courts evaluate whether the factual allegations of a complaint for declaratory relief reveal an actual, ripe controversy exists between the parties.” [Citation.]” (JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678, 688.) Past conduct is not proper subject matter for a declaratory relief claim. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366.) “Where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory relief which is ‘wholly derivative’ of the statutory claim. [Citation.]” (Ball v. FleetBoston Fin. Corp. (2008) 164 Cal.App.4th 794, 800.)

Wei demurs to the Fifteenth Cause of Action for declaratory relief on the grounds that the Complaint fails to allege facts sufficient to state a cause of action. Wei contends this cause of action is wholly derivative of the inadequately pleaded

substantive claims by alleging a controversy over Plaintiff's personal property, funds, money, and accounts, but does not identify any specific property owned, held, or controlled by Wei that is the subject of an actual present controversy.

In opposition, Plaintiff contends declaratory relief is proper because the Complaint alleges an actual controversy over funds, accounts, and traceable property, including Wei. Plaintiff contends to allege that an actual and present controversy exists among Plaintiff and Defendants, including Wei, over Plaintiff's personal property, funds, money, and accounts. Plaintiff contends to allege that Defendants wrongfully misappropriated those things, wrongfully changed ownership of such property and accounts to themselves, and threatens to continue doing so. Plaintiff contends to allege that Wei knowingly assisted Pengqiang by holding, receiving, or transferring property and funds for Pengqiang's benefit and participating in transactions designed to place assets beyond Plaintiff's reach and that Plaintiff alleges transfers to Wei. Plaintiff contends to seek a binding declaration of the parties' legal rights and duties concerning the funds that they should be returned to Plaintiff, ownership should be declared in Plaintiff's name, and Defendants should be excluded from ownership of the subject property.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for declaratory relief. The Court agrees with Wei that Plaintiff's declaratory relief claim is derivative of the preceding claims in the Complaint. (Ball v. FleetBoston Fin. Corp., supra, 164 Cal.App.4th at p. 800.) Plaintiff is merely asking to have her money returned to her. (See Compl., ¶¶ 168-172.) The Complaint alleges only facts concerning past conduct, i.e., the wrongful taking of Plaintiff's money, which is not a proper subject for declaratory relief. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC, supra, 191 Cal.App.4th at p. 366.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Fifteenth Cause of Action without leave to amend.

LEGAL STANDARD – Motion to Strike

"Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e)." (Code Civ. Proc., § 435, subd. (b)(2).) "The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Id., § 436.)

PRELIMINARY ISSUES – Motion to Strike

Wei's motion to strike misquotes from Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1041-1042 by adding "conclusory," to the phrase "devoid of any factual assertions". (Motion, 4:28-5:2.) The Court admonishes Wei's counsel to be more cautious going forward when quoting from cases.

Plaintiff's Opposition incorrectly attributes the following quote to Miller v. National American Life Ins. Co. (1976) 54 Cal.App.3d 331, 336, and Horn v. Guaranty Chevrolet Motors (1969) 270 Cal.App.2d 477: "A fraud cause seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient." (Opp., 3:20-22.) The quoted language is found in the third case Plaintiff cited here, namely Stevens v. Superior Ct. (1986) 180 Cal.App.3d 605, 610-611.

Plaintiff's Opposition also incorrectly attributes the following quote to Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144-1145: "may be liable for aiding and abetting a tort where the defendant knowingly gives 'substantial assistance' to a tortfeasor". (Opp., 4:14-16.) That language is not found in that case. The Court will discuss these matters further with Plaintiff's counsel at the hearing on this Motion to Strike.

DISCUSSION – Motion to Strike

Meet and Confer

The Court finds Wei's efforts to meet and confer before moving to strike portions of Plaintiff's Complaint sufficient. (Wu Decl., ¶ 6; Code Civ. Proc., § 435.5, subd. (a).)

Punitive Damages and Code of Civil Procedure section 425.115 Statement

A claim for punitive damages is subject to a motion to strike when the allegations fail to rise to the level of malice, oppression, or fraud necessary under Civil Code section 3294. (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 64.)

Wei moves to strike Plaintiff's punitive damages allegations and request on the grounds that the Complaint fails to allege specific facts of malice, oppression or fraud by Wei, individually. Wei contends the Complaint does not allege any specific act by Wei demonstrating intent to injure Plaintiff, despicable conduct carried out with willful and conscious disregard of Plaintiff's rights, or cruel and unjust hardship inflicted in conscious disregard of Plaintiff's rights. Wei also contends the Complaint's statement under Code of Civil Procedure section 425.115 should be stricken.

In opposition, Plaintiff contends the Complaint pleads fraud and that Wei knowingly aided and abetted fraud. Plaintiff contends the Complaint alleges that Wang fraudulently induced Plaintiff to transfer approximately \$1,250,000 for safekeeping and investment purposes while never intending to perform or return the funds as promised. Plaintiff contends to allege Pengqiang engaged in various wrongful acts to prevent Plaintiff's discovery of the true status and location of her funds. Plaintiff further contends the Complaint alleges Wei knowingly assisted Pengqiang in concealing assets derived from Plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit and by participating in transactions designed to place assets beyond Plaintiff's reach. Plaintiff also contends the Complaint alleges the Defendants acted under a common plan to conceal Plaintiff's assets. Plaintiff also contends the Code of Civil Procedure section 425.115 statement should not be stricken because that section authorizes a plaintiff seeking punitive damages to serve a statement giving notice of the amount of punitive damages sought before default may be taken.

The Court finds the Complaint fails to allege sufficient facts to support a claim for punitive damages against Wei. As noted above, the Court sustained Wei's Demurrer to most of Plaintiff's claims against Wei. Although the Court overruled Wei's Demurrer to the Twelfth and Thirteenth Causes of Action, the Court does not find that the Complaint alleges sufficient facts demonstrating that Wei acted with malice, fraud, or oppression toward Plaintiff. (See Civ. Code, § 3294.) Rather, the Complaint simply alleged sufficient facts demonstrating that Pengqiang transferred some of Plaintiff's funds to Wei for purposes of defrauding Plaintiff. The Complaint's allegations against Wei are otherwise conclusory and devoid of facts showing Wei knew the funds were stolen or otherwise acted with intent to harm Plaintiff or in disregard of Plaintiff's rights. (See Compl., ¶¶ 8-39.)

Moreover, although not mentioned in Wei's moving papers, complaints may not allege specific monetary amounts for punitive damage claims. (Civ. Code, § 3295, subd. (e).) The Complaint violates this prohibition. (Compl., p. 26, ll. 21-23.) Code of Civil Procedure section 425.115 applies to a statement of damages, not a complaint. (See Code Civ. Proc., §§ 425.11, subd. (e), 425.115.)

Accordingly, the Court GRANTS the motion to strike Plaintiff's punitive damages allegations located at paragraphs 59, 110, 117, 147, 159, and Prayer for Relief, paragraph 5, as to Wei with leave to amend. The Court GRANTS the motion to strike the Complaint's statement under Code of Civil Procedure section 425.115 as to Wei without leave to amend.

Treble Damages and Attorney Fees Under Penal Code § 496, subdivision (c)

"Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Penal Code, § 496, subd.

(c.)

Wei contends the requests for treble damages and punitive damages under Penal Code section 496, subdivision (c), should also be stricken because the Complaint fails to state sufficient facts to state a cause of action for civil theft against Wei. Wei contends the Complaint does not identify any specific property that Wei received, concealed, or withheld, nor does it allege facts supporting Wei's actual knowledge that any property was stolen.

In opposition, Plaintiff contends the requests for treble damages and attorney fees under Penal Code section 496, subdivision (c), should not be stricken because they are statutory remedies for the adequately pleaded civil theft claim.

Given that the Court sustained Wei's Demurrer to Plaintiff's Penal Code section 496, subdivision (c) claim, there is no other basis for Plaintiff to request treble damages and attorney fees. (See Penal Code, § 496, subd. (c); see also Code Civ. Proc., § 1033.5, subd. (a)(10) [attorney fees recoverable only if authorized by contract, law, or statute].)

Based on the foregoing, the Court GRANTS the Motion to Strike as to Plaintiff's request for treble damages and attorney fees located at paragraphs 3 and 8 of the Prayer for Relief as to Wei with leave to amend.

CONCLUSION

The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Second and Ninth Causes of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Sixth Cause of Action, and will hear from Plaintiff whether facts can be alleged to amend the defects identified herein. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant Jiali Wei, Individually, to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant Jiali Wei, Individually. The Court hereby STRIKES the following portions of the Complaint as to Defendant Jiali Wei, Individually, with 20 days' leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint's statement under Code of Civil Procedure section 425.115 as to Defendant Jiali Wei, Individually, located on page 26, lines 21 through 23, without leave to amend.

Defendant Jiali Wei, Individually, is ordered to give notice of the Court's ruling within five calendar days of this order.

[1] The Court refers to Pengqiang by first name only to avoid confusion. No disrespect is intended.